

ROUND 2

FinRadar AI

Financial News Intelligence for Stock & Financial Analysts

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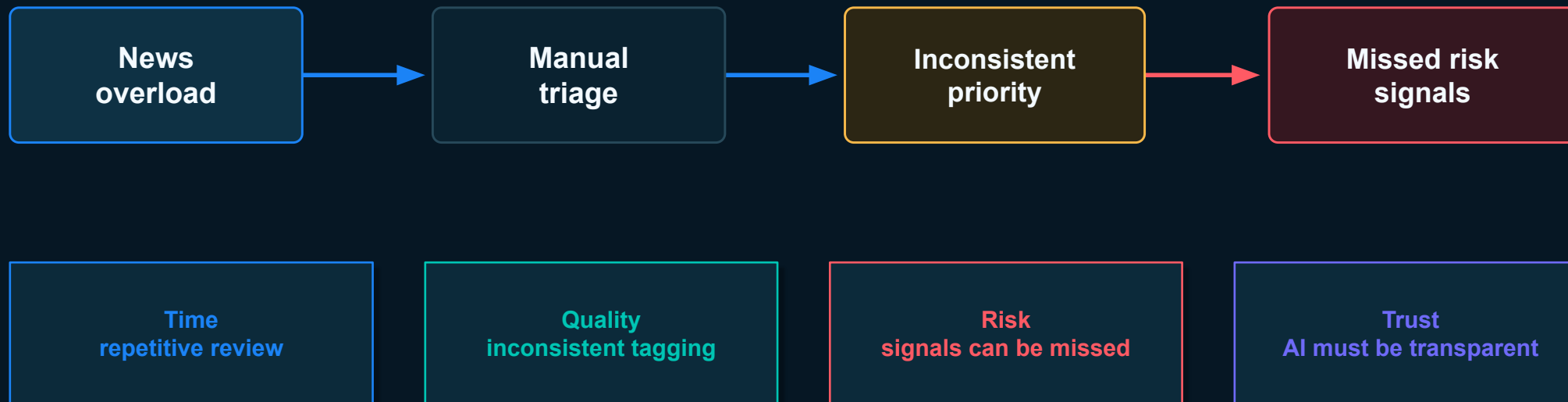
AI Assists - Humans Decide



Financial News Triage & Risk / Regulatory Alerting



The Problem: Access to News not equal to Understanding it



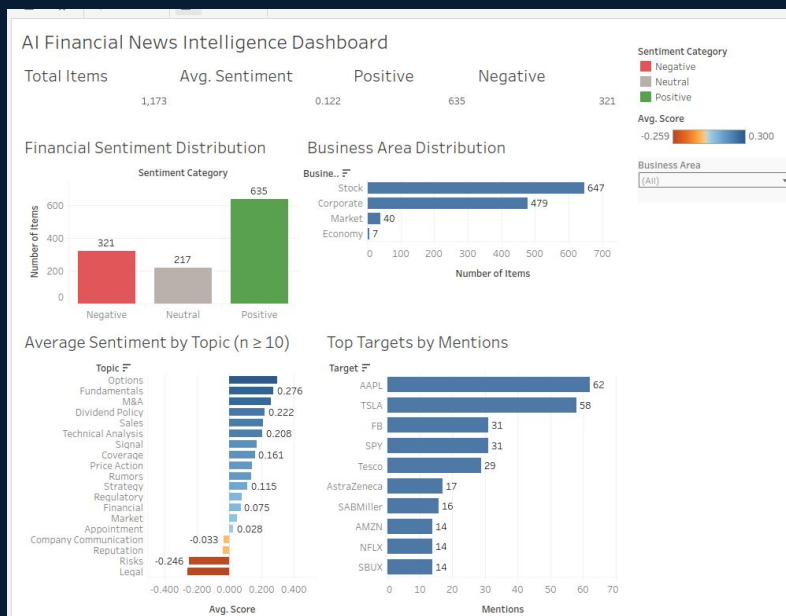
Why it persists: financial news is unstructured, fast-moving and context-heavy — exactly where assisted classification can help.



From Tableau Exploration to AI Taxonomy

How Round 1 analysis shaped the structured labels used by the Round 2 MVP

ROUND 1 TABLEAU WORK



CLASSIFICATION LEARNING

In Short:

FiQA provided the financial text, target, aspect and sentiment score.

Those fields used as a foundation, then created the FinRadar AI taxonomy and business rules required for the use cases

Important lesson: Target aliases and multi-entity news can be ambiguous, so exact-match evaluation is not enough.

FINRADAR AI TAXONOMY

AI output fields

Target

Business Area

Topic

Sentiment

Priority

Risk Type

Summary

Purpose for analysts

who / what is affected

Corporate · Stock · Market · Economy

earnings, M&A, regulation, risk...

Positive · Neutral · Negative

Low · Medium · High
Regulatory · Legal ·

Fraud · Compliance · None

short analyst-readable explanation

Design decision

Tableau insight → AI-ready taxonomy → structured output → deterministic escalation → human analyst review

**Not price prediction.
Not automated trading.**



The Proposed AI Solution: An intelligence layer Not a replacement

FinRadar sits between public news feeds and human analyst review.

Capabilities: NLP classification, summarisation, risk tagging and deterministic escalation.

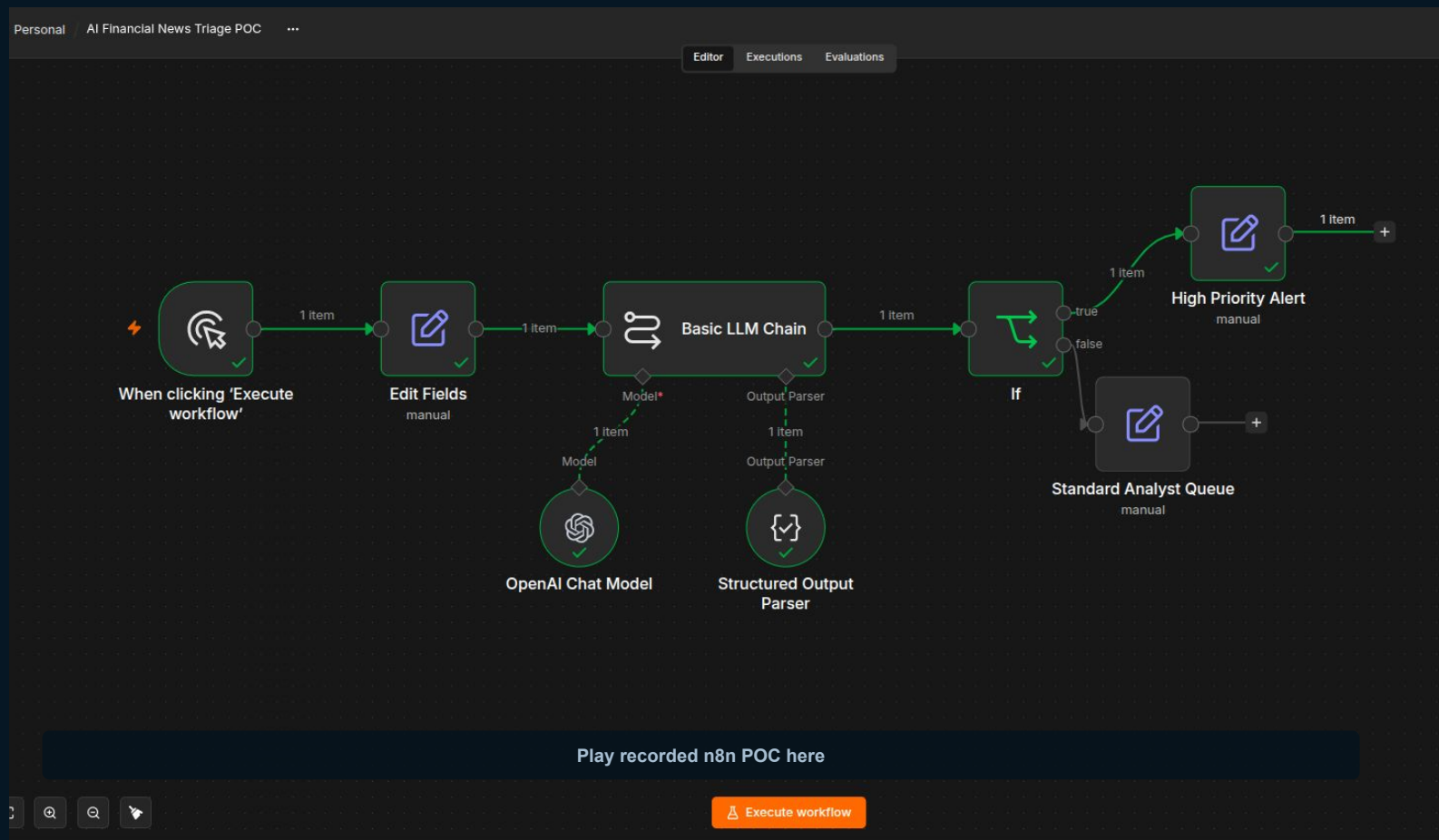


The screenshot shows the FinRadar AI interface. At the top, there's a section for 'Live Financial News' with a description: 'Fetch public financial news, select an article, and analyze it with FinRadar AI.' Below this is a 'Ticker / Company Symbol' input field with a placeholder 'Enter a ticker, e.g. AAPL, MSFT, TSLA' and a 'Fetch Latest News' button. Below that is a 'Weekly Earnings Calendar' section with a description: 'Upcoming company earnings announcements for the current trading week.' and a 'Refresh Earnings' button. The main part of the interface is the 'Earnings Calendar' table, which is labeled 'Working MVP interface' and shows a date range of 'DATE: AUG 31, 2026 - SEP 04, 2026'. The table has columns for Monday, Tuesday, Wednesday, Thursday, and Friday. Each column has a 'PRE MARKET' button and a list of company tickers: Monday (NIO, NIO), Tuesday (CRML, CRML), Wednesday (WLY, WLY), and Friday (WLY, WLY).

Transparency by design

The analyst sees the source, the structured AI output and the escalation outcome. The AI suggests; The rule routes; The analyst decides.

POC Demo: Round 1 proof of concept and what changed



Bridge from Round 1 to Round 2

Industry retained
scope refined
Daily Briefing removed
Risk & Regulatory Alerting added
Built a working analyst-facing MVP

What the POC proves

Feasibility of structured AI output and
priority routing.

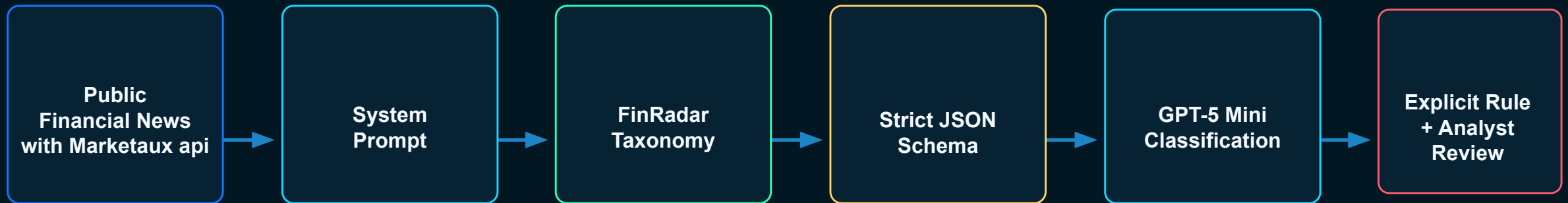
What it does not prove

Production accuracy, security, reliability or
scalability.

Prompt Engineering in app.py

Controlled financial-news classification, not a free-form chatbot

Layered control design



1. Role + boundaries

Analyze public financial news ONLY
NO investment advice, trading calls or price prediction

2. Human-defined taxonomy

Target, business area, topic, sentiment, priority,
risk type and summary

3. Jason Structured output

Model must return allowed fields and labels; no
extra free-form categories

Design outcome for Chleo:

The model maps news into predefined labels; Python escalation rules route high-risk cases; the analyst makes the final decision.

SYSTEM_PROMPT + FINANCIAL_ANALYSIS_SCHEMA → structured classification → requires_escalation()

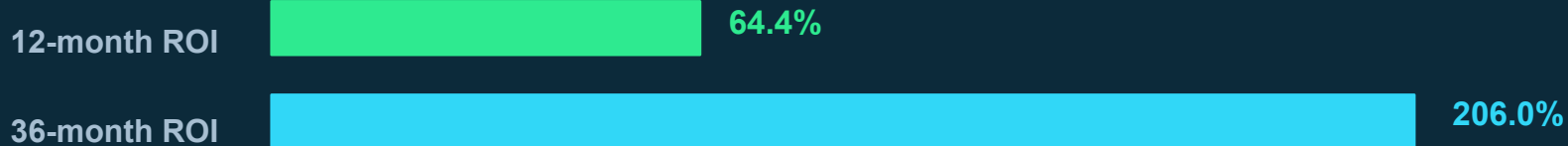


Business Case: Positive ROI if pilot assumptions hold

Planning estimates — actual value should be validated during the controlled pilot.



Estimated ROI



Core value driver

Less repetitive manual triage — not fewer analysts.

Investment decision

Fund a small pilot to validate time savings, adoption and reliability before scaling.



Risk Assessment: Top Risks & Mitigations

The full matrix covers more than six regulatory, technical, ethical and operational risks. These are the key pilot blockers.

Risk	Likelihood / Impact	Mitigation
AI output error	Medium / High	Human review, deterministic escalation, pilot evaluation before deployment, KPI pass
Compliance scope creep	Medium / High	Keep system advisory; reassess EU AI Act/GDPR if portfolio data is added
External API dependency	Medium / Medium	Manual fallback, vendor review, monitoring and production SLAs before rollout(vendor committed to have clear uptime)

Risks are manageable - if the pilot includes governance, monitoring and clear scope limits.



Compliance Summary: Classification & Safeguards

Current scope: public financial-news triage. **NO** trades, **NO** personalised investment advice, **NO** autonomous decisions.

EU AI Act

Current intended use:

Non-high-risk AI system

Reason:

advisory news triage with human review,
NOT autonomous financial
decision-making.

GDPR

Public financial news only, **BUT** public
articles may still contain personal data.

Assessment covers data flows, legal basis,
retention, rights and vendors.

Before production

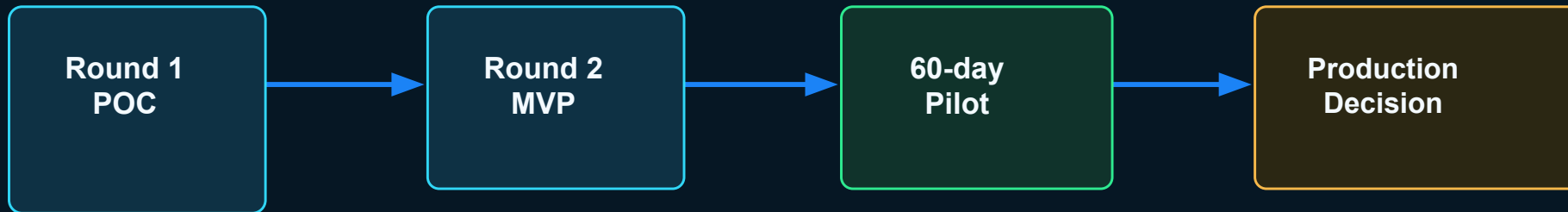
Add authentication
Audit logging,
Monitoring,
Vendor governance,
Prompt/model versioning
DPIA review if scope expands.

Compliance message: FinRadar can be piloted responsibly because it is scoped as analyst assistance with visible controls.



Strategic Deployment Plan: Pilot Before Production

Recommendation: move from working MVP to a controlled analyst pilot, then decide on production.



Pilot greenlight criteria

- Time reduction $\geq 30\text{-}40\%$
- Priority accuracy $\geq 80\%$
- Risk type accuracy $\geq 85\%$
- Escalation accuracy $\geq 90\%$
- Processing success $\geq 95\%$
- 0 critical compliance incidents

Commercial model

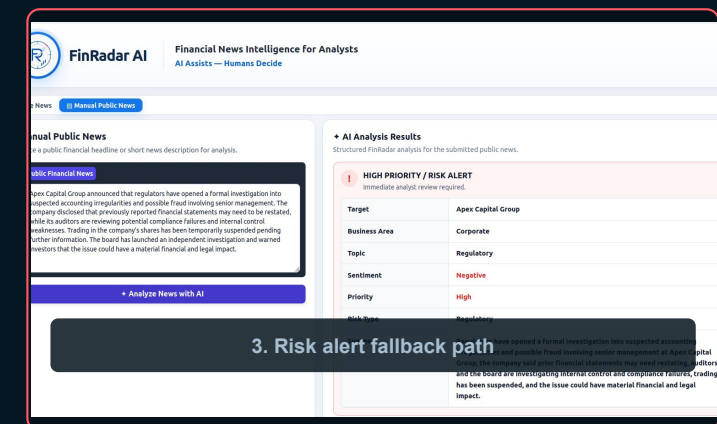
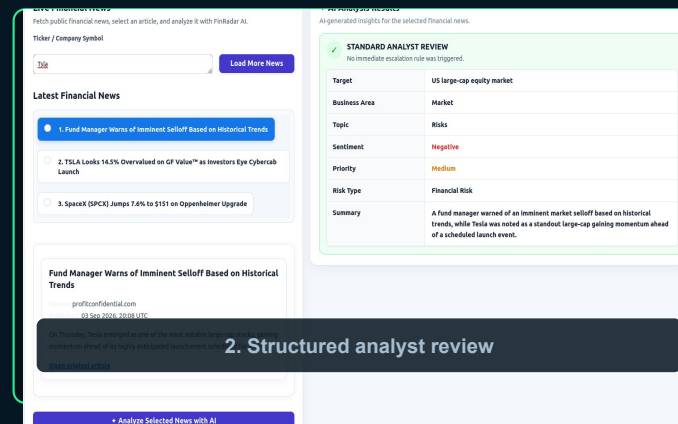
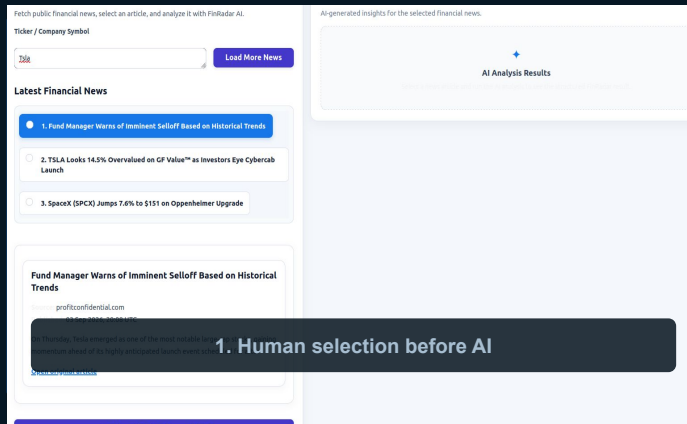
Internal pilot first; future SaaS or managed service for investment research teams

Decision principle

Chleo decides after evidence but not AI hype

MVP Demo + Evaluation: from workflow to analyst-facing product

Demo path: search ticker → retrieve live news → analyst selects article → structured AI analysis → review outcome.



Evaluation evidence

90.0%
Business Area

86.7%
Priority

93.3%
Risk Type

100%
Escalation

80.0%
Consistency
(10 usecase, tried 3 time
= 30 API call)

Strict Target Accuracy: 23.3%; alias-aware matching reached 80.0%. Small test sets mean pilot validation is still required.



Recommendation to Chleo

Proceed to a controlled 60-day analyst pilot — not autonomous production deployment.

Business value

Reduce repetitive news-triage work and surface risk signals faster.

Compliance posture

Current intended use is analyst assistance with human review and clear limits.

Next step

Validate ROI, accuracy, workflow adoption and governance before production.



AI Assists - Humans Decide